

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

INTERNATIONAL LONGSHOREMEN'S ASSOCIATION,
Complainant

v.

GATEWAY TERMINALS, LLC; CHARLESTON STEVEDORING
CO., LLC; PORTS AMERICA FLORIDA, INC.; CERES MARINE
TERMINALS, INC.; AND SSA ATLANTIC, LLC, *Respondents*.

DOCKET NO. 22-12

Served: November 7, 2022

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON PARTIAL MOTION TO DISMISS THE FIRST AMENDED COMPLAINT AND MOTION TO STRIKE PRAYER FOR REPARATIONS, AND MOTION FOR LEAVE TO FILE *AMICUS CURIAE*

I. Introduction and Procedural History

On April 12, 2022, a Notice of Filing of Complaint and Assignment was issued by the Federal Maritime Commission ("FMC" or "Commission"), stating that International Longshoremen's Association ("ILA") had filed a complaint against Gateway Terminals, LLC ("Gateway"), Charleston Stevedoring Company, LLC ("CSC"), Ports America Florida, Inc. ("Ports America"), Ceres Marine Terminals, Inc. ("Ceres"), and SSA Atlantic, LLC ("SSA"), alleging that they had violated 46 U.S.C. §§ 41102(b), 41105(6), 41106 and 15 U.S.C. § 13 by engaging in anticompetitive and trade restrictive practices. On May 9, 2022, Respondents moved to dismiss ILA's complaint. On June 3, 2022, Complainant filed a consent motion for leave to amend its Complaint, and on June 7, 2022, an opposition to Respondents' motion to dismiss. On June 21, 2022, Respondents filed a reply to Complainant's opposition. On June 23, 2022, an Order was issued, granting Complainant's motion to amend its complaint, and denying Respondents' motion to dismiss as moot.

On July 8, 2022, Respondents filed a motion to dismiss Counts Two, Three, and Four of the Amended Complaint and to strike Complainant's prayer for reparations ("Partial Motion to Dismiss"). On July 29, 2022, Complainant filed an opposition to the motion, and Respondents filed a reply to the opposition on August 12, 2022 ("Opposition to Partial Motion to Dismiss"). This proceeding was reassigned to the undersigned on September 26, 2022.

While Complainant and Respondents acknowledge in their respective amended complaint and subsequent briefs that the Georgia Ports Authority and the South Carolina Ports Authority are state entities who play a role relative to the issues in dispute, neither party had addressed the

specific impact on sovereign immunity regarding the adjudication and potential remedies available in this proceeding. Accordingly, an Order was issued *sua sponte* on August 18, 2022, instructing the parties to file briefs by September 15, 2022, indicating whether this proceeding or the requested relief implicates state sovereign immunity. Further, the parties were granted until September 29, 2022, to submit any responses to each other's briefs. On September 15, 2022, Complainant and Respondents submitted the requested briefs. In addition, a motion for leave to file an amicus brief, along with an amicus brief, was received from the Georgia Ports Authority ("GPA") on September 22, 2022. On September 27, 2022, Complainant submitted a response to Respondents' brief, and on September 29, 2022, Respondents submitted their response to Complainant's brief.

Accordingly, the pending issues at this stage of the proceeding are Respondents' partial motion to dismiss and motion to strike, and Georgia Port Authority's Motion for Leave to File an Amicus Brief. What role sovereign immunity plays in this proceeding vis-a-vis the private parties, and what impact it may have on potential remedies, is similarly pending.

For the reasons set forth below, Respondents' partial motion to dismiss is denied, including their request to strike Complainant's request for award of reparations. Respondents may file a response to the amended complaint by November 18, 2022. The parties shall file a joint status report, as discussed below, by November 29, 2022.

II. Motion for leave to file an *Amicus Curiae* Submission and Sovereign Immunity

Commission Rule 73 provides in pertinent part that a motion for leave to file an amicus brief must identify the interest of the applicant, must state the reasons why such a brief is desirable, and must be limited to questions of law or policy. 46 C.F.R. §502.73. Discussing why leave to file an *amicus* brief was granted in *In re: Vehicle Carrier Services*, 2018 FMC Lexis 39, 1 F.M.C. 2d 175 (2018), the Commission stated:

The amicus motion identifies the Amici's interest in filing and meets the Commission's for amicus filings spelled out in Commission Rule 73. Further, the Amici are uniquely situated to offer a broader perspective on [the issue in question].

GPA's brief satisfies the requirements of Rule 73. There is no disagreement among the parties that the GPA is an arm of the state of Georgia, and it is acknowledged that while no separate submission has been received from the South Carolina Port Authority ("SCPA"), it is an arm of the State of South Carolina. Accordingly, both are entitled to immunity from adjudication by the Commission of a private party's complaint against them.¹ The operation of the ports is central to the issues in the instant proceeding, so GPA's interest is clear. The GPA is also in a unique position to provide information about the policy decisions referenced throughout the parties' submissions. Because the GPA's submission could be helpful in determining the role of sovereign immunity, if any, in this proceeding, GPA's motion is granted, and the Amicus brief is accepted.

¹ The parties also agree that Respondents are not arms of the state. ILA Response to Sovereign Immunity Briefing Order at 3-5; Reply to Complainant's Sovereign Immunity and Amicus Brief at 2.

The parties were ordered to file briefs discussing what role sovereign immunity jurisprudence would play in this proceeding or the requested relief. Order at 3. While both parties filed briefs and responses, their arguments were generalized, and it was not clear what aspects of the port operations would be impacted by the remedies sought, and how that implicates sovereign immunity. Accordingly, the issue of the impact of sovereign immunity on this case and specifically on the remedies sought, will be deferred until the parties complete discovery and file briefs.

III. Partial Motion to Dismiss

Respondents assert that the Amended Complaint Counts Two, Three, and Four should be dismissed “for failure to state a claim for which relief can be granted”, and for failure “to meet threshold pleading standards necessary to establish the substantive violations of the Shipping Act provisions invoked in each of these counts”. Count Two of the Amended Complaint alleges that Respondents caused “undue or unreasonable prejudice or disadvantage with respect to any person” because Respondents allegedly created a monopoly over marine terminal operations for containerized cargo in Savannah and Charleston, leading to alleged price increases; Count Three alleges that Respondents have unreasonably refused to deal or negotiate with any person in violation of 46 U.S.C. § 41106 (3) “by setting rates and charges without any competition in the relevant market” as “all negotiations with Gateway or CSC are illusory [because] there is no competition in the market within the Ports of Savannah or Charleston,” causing injury to carriers and shippers due to the higher costs that they incur to utilize Respondents’ marine terminal operation services; and Count Four alleges that in violation of § 41106(3), Respondents have refused to negotiate or deal with the ILA and its affiliated locals as “a proximate result of the change from multiple marine terminal operators to a single marine terminal operator in both of the Ports,” causing financial injury to ILA and its affiliated locals. Amended Complaint at 17-21.

Respondents assert that the Amended Complaint Count Two fails to plead specific instances of disparate treatment of a party and only suggests “that shippers and carriers *generally* have been disadvantaged”; that ILA has failed “to identify any particular victim, or any specific instances in which any Respondent unreasonably refused to deal” in Count Three of the Amended Complaint; and that Count Four is barred by 46 U.S.C. Section 40301(d) “which provides that the Shipping Act does not extend to maritime labor agreements”. Finally, Respondents request that ILA’s prayer for reparation be stricken, as “the ILA cannot obtain reparations for injuries caused to non-parties, such as carriers”, and Complainant does not allege any injury to itself, nor does it specify any charge to be refunded. Partial Motion to Dismiss at 1-3.

ILA argues that Respondents’ partial dismissal motion should be denied because Respondents’ arguments for dismissal are foreclosed by the June 23, 2022, Order granting the motion to amend the complaint, finding the original motion to dismiss moot, and providing guidance regarding other issues raised again in the partial dismissal motion; that ILA has alleged sufficient facts to state claims under the Shipping Act in the Amended Complaint; and that striking monetary relief at this early stage of the proceeding is improper. Opposition to Partial Motion to Dismiss at 1.

1. Dismissal for Failure to State a Claim for Undue or Unreasonable Prejudice or Disadvantage

The Amended Complaint alleges at Count Two that Respondents violated Section 41106(2) of the Shipping Act by establishing a monopoly over marine terminal operations at the ports in Savannah and Charleston through the establishment of the joint ventures which unfairly prejudices shippers and carriers “who must send containers through the southeastern ports”. Complainant alleges that those shippers and carriers are disadvantaged when compared to similarly situated shippers and carriers who are able to ship containers through other ports. Amended Complaint at 17-19. In the Motion to Dismiss, Respondents argued that Complainant failed to plead facts sufficient to establish a violation of the Shipping Act because there were no specific facts that the ILA was injured, that Section 41105(6) applies to carriers, which Respondents are not, and that Complainant failed to allege factual elements to establish discrimination under Section 41106(2). The June 23, 2022, Order found that the Amended Complaint raised allegations of the Shipping Act and was sufficiently detailed to indicate the behavior that allegedly violates the Act. It further found:

The Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations raised may constitute violations of other non-Shipping Act statutes. See, e.g., *Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 33 S.R.R. 1230, 1232-33 (ALJ Feb. 2, 2015) (Order Denying Request for Stay). Further, under section 41301 of the Act, any “person may file with the Federal Maritime Commission a sworn complaint alleging a violation” of the Shipping Act. 46 U.S.C. § 41301(a). An allegation of injury and proof of injury to the complainant is only required to receive reparations when a violation is found. Thus, a failure to establish a personal injury caused by the alleged violations would not be a basis to dismiss the Complaint.

Order at 4.

In the Partial Motion to Dismiss, Respondents essentially reiterate the same arguments. As found previously, whether there is merit to Complainant’s allegation at Count Two is a determination that may become clearer after evidence is obtained from discovery. Count Two sufficiently pleads an allegation of a violation of the Shipping Act. It will be permitted to move forward.

2. Dismissal for Failure to State a Claim for Refusal to Deal and Negotiate

The Amended Complaint alleges that Respondents have entered into an agreement to establish a monopoly over stevedoring and marine terminal operations at the Ports of Savannah and Charleston, eliminating competition and allowing it to set rates and charges at the two ports so that no meaningful negotiations are possible in violation of Section 41106 (3). ILA further alleges that carriers and shippers are injured by the higher costs that result from this alleged monopoly. Amended Complaint at 19-20. Respondents assert that Count Three should be dismissed because ILA failed to identify a particular victim or specific instances of Respondents’

refusing to deal and negotiate. Partial Motion to Dismiss at 8-9. As noted above, failure to establish an injury caused by the alleged violations would not be a basis to dismiss the Amended Complaint. The Amended Complaint at Count Three makes sufficient factual allegations to plausibly allege a violation of the Shipping Act at this stage of the proceeding and will be permitted to move forward. Complainant will need to further develop and establish the factual basis supporting its Amended Complaint to demonstrate a violation of the Shipping Act.

3. Dismissal for Failure to State a Claim for Refusal to Deal or Negotiate with the ILA and its Affiliated Locals

The Amended Complaint alleges that in violation of section 41106(3), Respondents entered into the joint ventures in question to reduce competition among the three competing marine terminal operators in each port, and that since the agreement, Respondents have refused to negotiate with Complainant and its local unions. It further alleges that this joint venture resulted in a reduction from multiple terminal operators to a single marine terminal operator in both of the Ports, and as a proximate cause of that change, financial damages were suffered by Complainant. Section 41106(3) forbids a marine terminal operator to “unreasonably refuse to deal or negotiate.” The Amended Complaint thus raises allegations of Shipping Act violations and is sufficiently detailed regarding the behavior alleged to make out a plausible violation of the Shipping Act. At this juncture in the proceeding, there is not enough evidence to determine what allegations are supported and whether the remedy sought falls within the purview of the Commission. Allowing the case to proceed to discovery will allow the parties to deduce enough evidence to allow an accurate ruling on the issue at the appropriate time.

IV. Motion to Strike

Respondents further seek an order striking Complainant’s prayer for reparations, asserting that there is no basis for reparations to ILA. Partial Motion to Dismiss at 12-13. While the Amended Complaint requests reparations “in accordance with Section 41107(a),” which, as Respondents point out, addresses not reparations but monetary penalties or refunds, Complainant also requests “such other and further relief as the Commission deems just and proper”. Amended Complaint at 21-22. Read as a whole and taking into consideration that the Amended Complaint was brought under Section 41301, Complainant’s prayer for relief can be construed as seeking reparations under Section 41305 (*See* Section 41305(b) stating that “[i]f the complaint was filed within the period specified in section 41301(a) of this title, the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b)). It will be Complainant’s burden to show actual injury caused by a violation of the Shipping Act under this part in order to obtain an award of reparations, and it is within the presiding officer’s purview to order such relief, so it is premature to strike potential remedies prior to determining whether there are violations of the Shipping Act.

V. Declaratory Order

Complainant also requests a declaratory order in its prayer for relief. Amended Complaint at 21. While Respondents touched on this request for relief in their Motion to Dismiss the Complaint, they did not raise it in the Partial Motion to Dismiss the Amended Complaint. Motion to Dismiss at 11-12. GPA asserts that such an order, “combined with the general request for other relief as the Commission deems just and proper, could be read to encompass dissolution or similar injunctive relief that would interfere with the ongoing operations of Gateway” and would affect operations of Gateway over which GPA has statutory oversight, thus potentially impacting GPA’s sovereign immunity. Amicus at 5. Respondents concurred with GPA’s observation that no order can issue that “could impede or impair GPA’s interests” but did not specifically address whether a declaratory order is an available remedy in this action. Reply to Complainant’s Response to Sovereign Immunity and Amicus Brief at 2-3.

It is not clear that a declaratory order is an available remedy in this proceeding. 46 C.F.R. Section 502.93 authorizes the Commission, in its discretion, to issue declaratory orders “to terminate a controversy or to remove uncertainty” under Subpart F—Petitions, Exemptions, and Orders to Show Cause. In addition to the authority to issue such orders appearing to be appropriate only in proceedings under Subpart F, the Commission discussed the criteria it uses in determining whether to grant or deny such orders in *United States Lines (S.A), Inc.--Petition for Declaratory Order Re: The Brazil Agreements*, 1988 FMC LEXIS 62, 18-19 (1988):

Analysis of the above-cited cases reveals that the following factors weigh heavily in favor of issuance of such orders (and their absence against it): (1) presentation of clear-cut legal issues and non-disputed facts; (2) ability of the Commission to resolve all issues in a proceeding so as to terminate the controversy; (3) presence of issues of fact or law which require the Commission’s expert knowledge or judgment; (4) non-pendency of other proceedings or absence of need to resort to other tribunals to resolve matters in dispute; (5) claim which is purely declaratory in nature as opposed to an action for reparation for violation of statutes or regulations.

The current proceeding does not appear to be an appropriate one for issuance of a declaratory order as it was not brought under Subpart F but decisions on potential remedies will be deferred until the parties complete discovery and file briefs citing to evidence and case authority to support their positions. Any remedy provided will be cognizant of GPA and SCPA’s concerns and will not infringe on their sovereign immunity.

VI. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondents’ partial motion to dismiss be **DENIED**. It is

FURTHER ORDERED that Respondents’ motion to strike Complainant’s prayer for reparations be **DENIED**. It is

FURTHER ORDERED that Respondents must file an answer to the amended complaint by November 18, 2022. It is

FURTHER ORDERED that the parties shall submit a joint status report with proposed schedule by December 2, 2022.



Linda S. Harris Crovella
Administrative Law Judge